HEAD OVERSEA | PRIVATE MARKETS · EDUCATION SERIES

GUIDE 04 · SCALING UP

Expanding Your Allocation.

For investors already in private markets — how to grow a private allocation thoughtfully, diversify across strategies and vintages, and manage the moving parts.

An educational guide for investors ready to build a private markets program.

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01 From a first step to a program

A single commitment is a start. A resilient private allocation comes from diversifying across strategies, across time, and across managers.

Once you're comfortable with how private investing works, the goal shifts from making one good decision to building a portfolio that spreads risk and smooths cash flows. Three kinds of diversification do most of the work.

> THE CORE IDEA
>
> Don't concentrate. Spread commitments across different strategies, different years and different managers to reduce the impact of any single outcome.

THREE WAYS TO DIVERSIFY

01

By strategy

Blend equity, credit and real assets so returns don't rely on one engine.

02

By vintage

Invest across multiple years to avoid timing the market with one commitment.

03

By manager

Use several strong managers to reduce reliance on any one team.

TIMING

02 Building across vintage years

When you invest matters. Spreading commitments across several vintage years is one of the simplest, most powerful risk controls in private markets.

WHY IT MATTERS

Vintage diversification

Each year brings a different environment for buying and selling. Committing across vintages means no single market moment defines your results.

HOW TO DO IT

Commitment pacing

Rather than deploying everything at once, commit a planned amount each year — building exposure steadily and keeping capital working.

A STEADIER RIDE

A program spread across vintages tends to produce more even cash flows, as older funds distribute while newer ones invest.

03 Broadening the mix

As a program matures, new strategies can add income, diversification and flexibility beyond your original exposure.

ADD	ROLE IN PORTFOLIO	WHAT IT ADDS
Private credit	**INCOME**	A steady stream of interest income to balance growth-focused holdings.
Real assets	**DIVERSIFICATION**	Property and infrastructure that behave differently from corporate investments.
Secondaries	**SHORTER J-CURVE**	Buying existing fund stakes — often at a discount, with faster distributions.
Co-investments	**LOWER COST**	Investing directly alongside a manager, typically with reduced fees.

> WHERE TO START
>
> Many investors add private credit first for income, then layer in secondaries and co-investments as their program and confidence grow.

04 Managing a maturing program

A growing allocation has more moving parts. A little discipline keeps it healthy and predictable.

Commitment pacing	Plan how much to commit each year to keep exposure steady as older funds wind down.
Cash-flow planning	Anticipate capital calls and distributions so you're never caught short.
Rebalancing	Periodically check that strategy weights still match your intended plan.
Governance	Keep clear records, review manager performance, and revisit your goals.

SIGNS YOU'RE READY TO EXPAND

You understand the mechanics
Capital calls, distributions and lock-ups hold no surprises for you.

You have a plan
You know your target strategy mix and pacing over the coming years.

Your liquidity is sound
You can meet future calls without straining the rest of your portfolio.

You've built trust
You have managers whose approach and reporting you rely on.

REFERENCE

05 Key terms, in plain language

Vintage year

The year a fund starts investing; used to compare funds fairly.

Commitment pacing

A plan for how much capital to commit each year.

J-curve

The early dip in returns before a fund's investments mature and pay off.

Secondaries

Buying existing stakes in private funds from other investors.

Co-investment

Investing directly in a deal alongside a fund manager, often fee-light.

Dry powder

Committed capital that a fund has not yet invested.

Rebalancing

Adjusting holdings to return to your intended strategy mix.

Diversification

Spreading investments to reduce the impact of any single outcome.

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